



United States
Attorney's Office
District of New Jersey



Owner of Mail Order Pharmacies Settles False Claims Act Investigation Involving Allegations of Fraudulent Billing Practices and Kickbacks



Friday, September 26, 2025

For Immediate Release

U.S. Attorney's Office, District of New Jersey

Newark, N.J. – An Orange County, California resident entered into settlement agreements with the United States resolving allegations that he violated the False Claims Act by paying kickbacks in exchange for the referral of certain prescriptions, Acting U.S. Attorney and Special Attorney Alina Habba announced today.

According to the settlement agreements, Andrew Do owned and operated three mail-order pharmacies in Orange County, California between January 2016 through December 2020. The Government alleges that, during that time, Do paid kickbacks to receive prescriptions for certain compounded topical creams, filled the prescriptions, and then submitted claims to Medicare for reimbursement. According to the Government, Do knew that his payments to induce prescriptions paid for by Medicare violated the Anti-Kickback Statute and caused false claims to be submitted to the Medicare program, all in violation of the False Claims Act.

Under the terms of the settlement agreements, Do will pay \$600,000 to the United States. This settlement amount is based on Do's financial disclosures and his inability to pay.

One of the settlement agreements resolves allegations brought against one of Do's pharmacies that was filed under the *qui tam* or whistleblower provisions of the False Claims Act. Under the False Claims Act, private parties can file an action on behalf of the United States and receive a portion of any recovery. Under today's resolution, the relator in that action, Daniel Toellner, will receive up to \$100,000 of the settlement agreement involving Do's conduct on behalf of one of his pharmacies, Family Care Investments d/b/a Value Pharmacy.

Acting U.S. Attorney and Special Attorney Habba credited special agents of the U.S. Department of Health and Human Services Office of Inspector General, under the direction of Special Agent in Charge Naomi Gruchacz, and U.S. Department of Defense, Office of Inspector General, Defense Criminal Investigative Service, Northeast Field Office, under the direction of Acting Special Agent in Charge Christopher Silvestro, with the investigation.

The government is represented by Assistant U.S. Attorney David V. Simunovich of the U.S. Attorney's Office, Health Care Fraud & Opioid Abuse Prevention Unit, in Newark.

The investigation and resolution of this matter illustrates the government's emphasis on combating health care fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement, can be reported to the Department of Health and Human Services at 800-HHS-TIPS (800-447-8477).

The claims resolved by the settlement are allegations only, and there has been no determination of liability.

The *qui tam* case is captioned *United States ex rel. Toellner v. Apogee Bio-Pharm Corp., et al.*, Civil Action No. 18-13640 (D.N.J.).

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Counsel for Andrew Do: Vicki Podberesky, Esq., Los Angeles, CA

Counsel for Relator Daniel Toellner: Joseph Callow, Esq., Cincinnati, OH

[dovaluepharmacy.agreement.pdf](#) [dogoodhealth.agreement.pdf](#) [dojdhealth.agreement.pdf](#)

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